DATA FLASH · EMPLOYMENT REPORT

Jobs Blowout: 165,000 Payrolls Put the December Hike Back in Play

The US economy added 165,000 jobs in October, almost three times the consensus and more than every published forecast, and unemployment fell to 4.1%. August and September were revised up by 84,000. Treasury yields and the dollar rose and markets lifted the odds of a December Fed hike to about 77% to 80%. The report lands a day after the worst session for US stocks since April 2025: good news for the economy, less so for rate-sensitive tech.

Global Markets Research · Macro Desk Prepared by ANDRA MARKETS

~4.1%

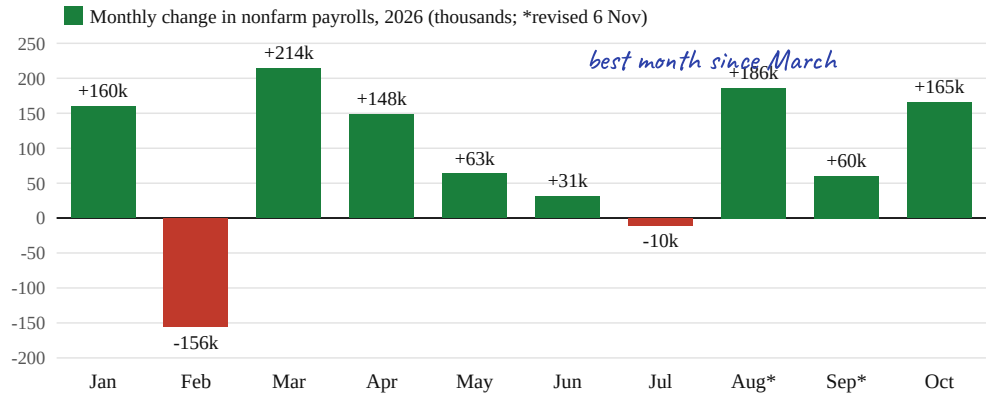
Coverage summary. Nonfarm payrolls rose by 165,000 in October, the Bureau of Labor Statistics reported, against a consensus of about 65,000 in the Reuters and LSEG polls and 59,000 in the Dow Jones survey; Bloomberg noted the figure topped all forecasts. Private payrolls rose 159,000 against 64,000 expected. September was revised up from 29,000 to 60,000 and the two prior months together by 84,000. The unemployment rate fell to 4.1% from 4.2%, labour-force participation rose to 61.9% and average hourly earnings rose 0.4% on the month to $38.00, 3.1% on the year. Professional and business services added 70,000 jobs, health care 42,000, transport and warehousing 25,000 and manufacturing 19,000. The two-year Treasury yield rose about 5.5 basis points to 4.53%, the dollar index had its biggest daily gain in seven weeks and CME FedWatch put the probability of a December hike at roughly 77% to 80%, up from about 66% to 68% before the release.

x2.5 the consensus

PAYROLLS, OCT	UNEMPLOYMENT	HOURLY EARNINGS	DEC HIKE ODDS
+165k	**4.1%**	**+0.4% m/m**	**~77-80%**
vs ~65k consensus	*from 4.2%*	*3.1% y/y*	*from ~67% (CME)*

the Fed's green light?

EXHIBIT 1. MONTHLY CHANGE IN US NONFARM PAYROLLS, 2026 (THOUSANDS)



best since March

Sources: BLS (October; revised August and September per Benzinga and Reuters); earlier months as compiled in Andra Markets 2026-90.

1.0 Executive Summary

Seven takeaways

1. A clean beat. Payrolls of 165,000 more than doubled the consensus and exceeded even the highest published forecast, Vanguard's 120,000. It was about three times the 48,000 monthly average of the previous twelve months.

1. beat

2. The revisions matter as much as the headline. September rose from 29,000 to 60,000 and August and September together by 84,000. The three-month average is now about 137,000, from about 51,000 a month ago.

3. Broad-based hiring. Professional and business services added 70,000 jobs against a 12-month average of 15,000; health care 42,000 against 31,000; manufacturing 19,000, its gains since December 2025 now 101,000.

4. Some soft spots. The U-6 underemployment rate rose to 7.9% from 7.6%, involuntary part-time work rose by 339,000 to 4.8 million and long-term unemployment rose sharply, according to CNBC.

5. The Fed has its green light. With unemployment at 4.1% and wages up 0.4% on the month, the main argument against a December hike, labour-market weakness, has weakened. Markets moved the odds to roughly 77% to 80%.

6. Good news, mixed reaction. Yields and the dollar rose; Nasdaq futures, up about 1.3% before the data, eased as higher yields weighed on long-duration tech, while the Dow slipped.

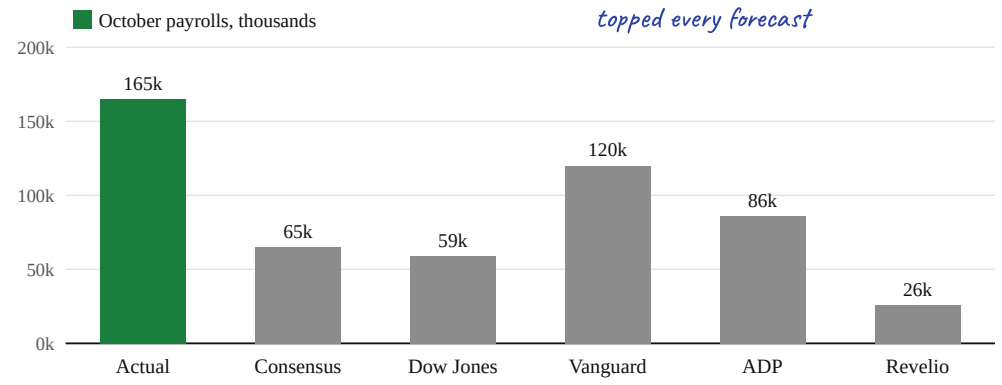
7. Our reading. The report rules out a labour-market recession for now and makes a December hike the base case. For the AI-led sell-off it is a mixed blessing: stronger growth supports earnings, but higher rates raise the cost of capital that has become the trade's main constraint.

2.0 The Headline and the Revisions

Stronger than anyone expected

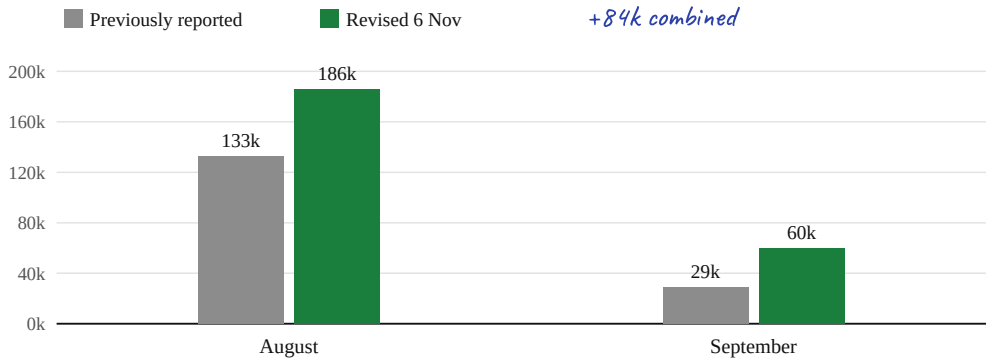
Before the release, the range of forecasts ran from about 26,000, Revelio Labs' alternative-data estimate, to Vanguard's 120,000, with the consensus near 65,000 and ADP's private survey at 86,000. The actual figure of 165,000 beat all of them. Private employers added 159,000 jobs and government 6,000, after cutting 18,000 in September. The revisions changed the picture of the summer: September now shows 60,000 jobs rather than 29,000, and the three-month average rises to about 137k. As Andra Markets 2026-90 noted, revisions in 2026 have been unusually large, so the first estimate of October will itself be revised twice.

Exhibit 2. October payrolls: actual vs forecasts (thousands)



Sources: BLS; Reuters/LSEG and FactSet (consensus ~65k); CNBC (Dow Jones 59k); Vanguard and Revelio Labs via Morningstar; ADP.

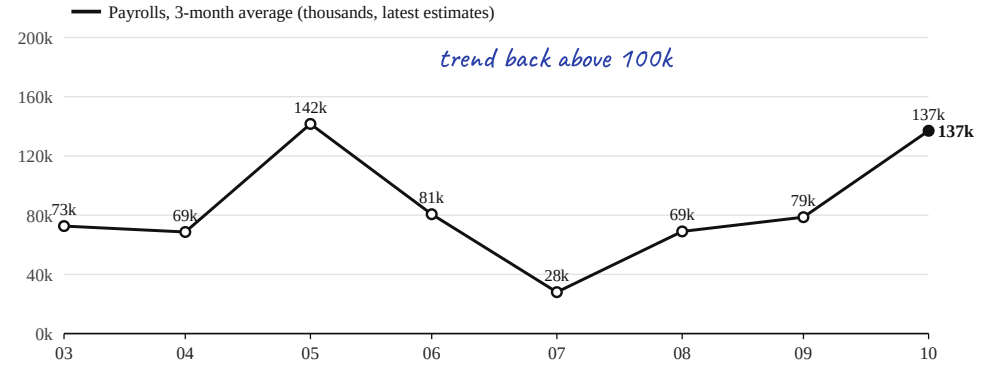
Exhibit 3. Revisions to August and September payrolls (thousands)



+84k

Sources: BLS via Benzinga, Reuters and CNBC. August revised figure derived from the reported combined revision of 84,000.

Exhibit 4. Payrolls, three-month moving average (thousands)



Source: Andra Markets calculation from BLS monthly changes, latest estimates.

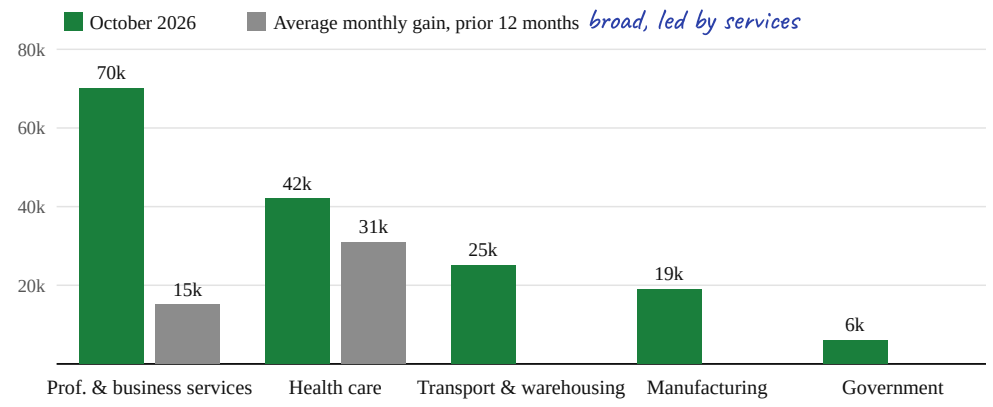
3.0 Where the Jobs Came From

Services, health care and factories

services led

Professional and business services added 70,000 jobs, far above their 12-month average of 15,000 and the largest gain of any sector; the sector has added 269,000 jobs since a recent low, according to the BLS. Health care added 42,000 against an average of 31,000. Transportation and warehousing added 25,000, including 17,000 couriers and messengers and 4,000 in air transport. Manufacturing added 19,000, including 7,000 in computer and electronic products, and has gained 101,000 jobs since its December 2025 low. Government added 6,000, as gains in state government offset small federal and local declines. The breadth argues against a statistical fluke, though seasonal factors around the holiday season can exaggerate monthly moves.

Exhibit 5. Job gains by sector, October 2026 vs prior 12-month average (thousands)



Sources: BLS via ANI, UPI and NewsBusters. 12-month averages shown where reported.

4.0 The Household Survey and the Soft Spots

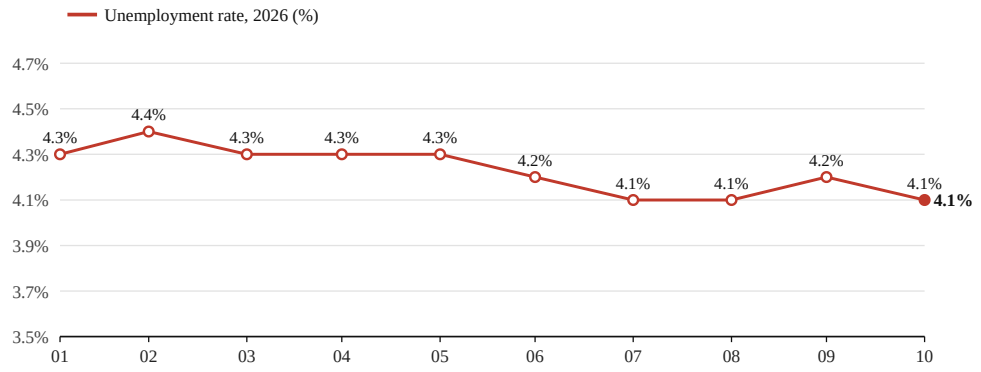
Strong, with caveats

~62%

+463k employed

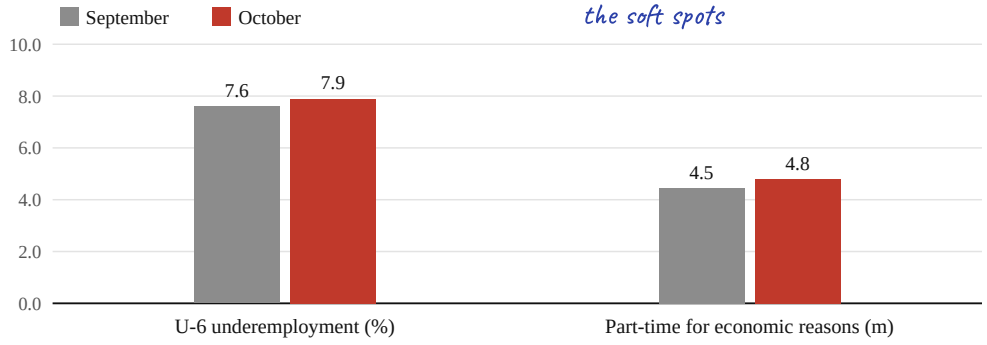
The household survey, used to compute the unemployment rate, was strong: employment rose by about 463,000, participation rose to 61.9% and the employment-to-population ratio held at 59.3%. Unemployment fell to 4.1%, the bottom of the 4.1% to 4.3% range it has occupied since March, with about 7.1 million people unemployed. But the broader picture had cracks. The U-6 rate, which includes people working part-time who want full-time work, rose to 7.9% from 7.6%, and those part-time for economic reasons rose by 339,000 to 4.8 million. Long-term unemployment rose sharply. Economists cited by MacDailyNews estimate the economy now needs only about 40,000 jobs a month to keep pace with population growth, given slower labour-force growth, which is why unemployment stays low even when hiring is modest.

Exhibit 6. Unemployment rate, 2026 (%)



Sources: BLS via SimianX, Continuum Economics and the October release.

Exhibit 7. Underemployment indicators



Sources: BLS via Benzinga (U-6) and ANI (part-time for economic reasons; September derived from the reported increase).

5.0 Wages

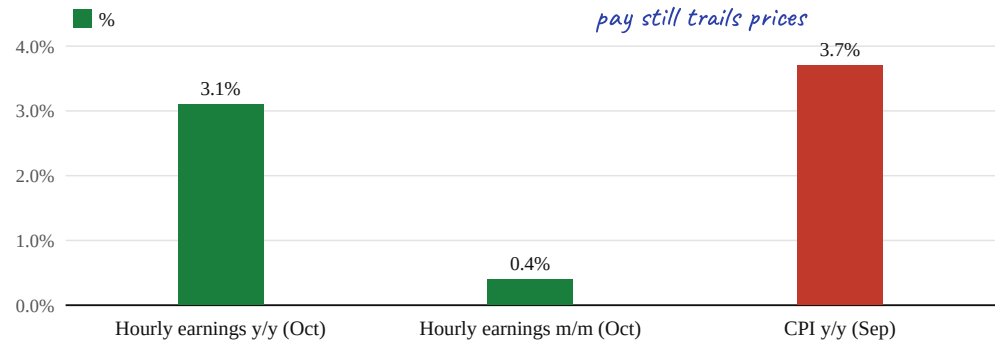
Picking up, still below inflation

+0.4% m/m

~0.4%

Average hourly earnings rose 14 cents, or 0.4%, to $38.00, above the 0.3% consensus, and 3.1% over the year, up from 3.0% in September. That remains below September's CPI inflation of 3.7%, so real hourly pay is still falling, but the monthly pace, if sustained, would run at almost 5% annualised. For a Fed worried about second-round effects of the energy shock, faster wage growth is the most important detail in the report. The average workweek held at 34.4 hours.

Exhibit 8. Wages vs prices (%)



Sources: BLS (hourly earnings, October; CPI-U, September).

6.0 The Fed and the Markets

December is back to base case

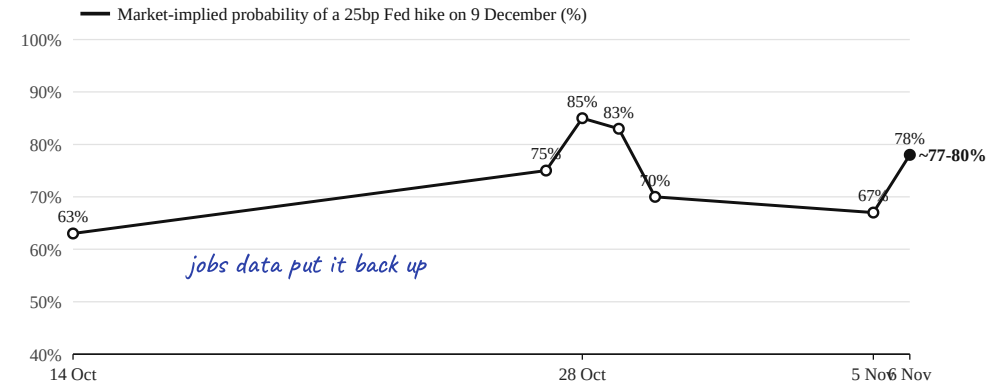
~66%

Rate expectations moved quickly. Before the release CME FedWatch put the probability of a quarter-point hike on 9 December at about 66% to 68%; afterwards readings ranged from 76.8% to about 80%, and prediction markets moved similarly, with Polymarket at 76.5% and Kalshi near 78%. A hike would take the federal funds range to 4% to 4.25%. The two-year yield rose about 5.5 basis points to 4.53%, the ten-year about 3 basis points to 4.87% and the 30-year about 2 basis points to 5.28%; later readings put the ten-year near 4.9%. The dollar index rose 0.63% to 102.12, on course for its biggest daily gain in seven weeks. Nasdaq futures, up about 1.3% before the data as chip stocks bounced, eased after it; in early trading the Nasdaq was about 1.1% higher while the Dow fell.

~77-80%

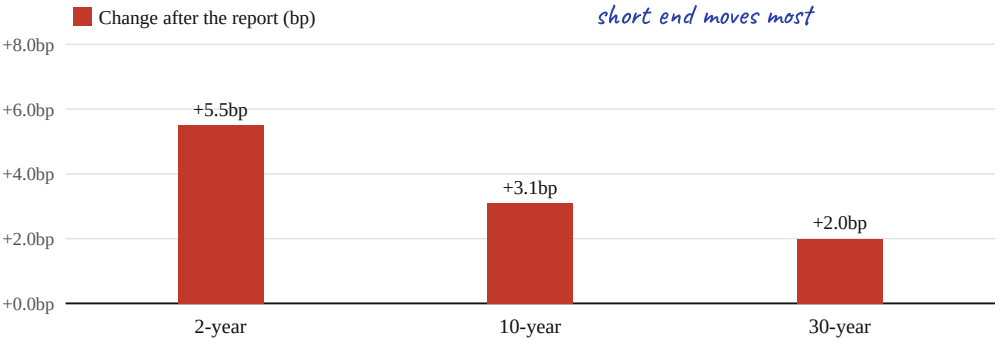
Exhibit 9. Market-implied probability of a December Fed hike (%)

back up



Sources: CME FedWatch as reported by Forbes, Kiplinger, CNN, FXStreet, CNBC, Reuters, ActionForex and Finimize. 6 Nov shown at ~78% (range 76.8-80%).

Exhibit 10. Treasury yield changes after the jobs report (basis points)



Sources: CNBC and Reuters (2-year +5.5bp to 4.53%; 10-year +3.1bp to 4.87%; 30-year +2bp to 5.28%).

7.0 Jobs Meets the AI Sell-Off

Good for the economy, tricky for tech

good news, higher rates

The report arrived a day after the S&P 500 fell 4.36% and the Nasdaq 5.52%, as Andra Markets 2026-92 and 2026-94 described. For the economy and for earnings, it is unambiguously good: Principal Asset Management's Seema Shah called it a strong rebuttal to fears of a meaningful slowdown, and stronger hiring supports consumer spending into the holidays. For the AI trade, the message is more complicated. One of the three forces behind Thursday's sell-off was the cost of capital, and a near-certain December hike raises it further for long-duration growth stocks and for the debt-financed builders of AI infrastructure. The best outcome for tech would have been a soft report; the best outcome for the economy was this one. The market's split reaction, tech up but off its highs, the Dow down, reflects that tension.

~4.4%

Exhibit A. What the report changes

Area	Before the report	After
Recession risk	rising concern after weak summer data	sharply reduced
December Fed hike	~66-68% priced	~77-80% priced
Two-year yield	~4.48%	~4.53%
Dollar	bid as a haven	biggest daily gain in 7 weeks
AI and growth stocks	bouncing from Thursday's rout	bounce intact but capped by yields
Wage pressure	3.0% y/y, cooling	3.1% y/y, +0.4% m/m

Sources: this report; CNBC, Reuters, Finimize, ActionForex.

8.0 What Comes Next

The path to 9 December

Exhibit B. Calendar before the Fed

Date	Event	Why it matters
Sat 7 Nov	Berkshire Hathaway Q3 (2026-93)	the haven trade
10 Nov	October CPI	energy vs core inflation
17 Nov	Nvidia results	AI demand
18 Nov	FOMC minutes (October meeting)	the hawks' arguments
4 Dec	November jobs report	last labour data before the Fed
9 Dec	Fed decision with projections	hike to 4-4.25%?

Sources: Rio Times (CPI, minutes, November jobs dates); Federal Reserve; Andra Markets.

Exhibit C. Andra Markets scenarios to 9 December

Scenario	Data path	Fed	Markets
Hike and hold	CPI near 3.5-4%; jobs solid	+25bp, signals pause	yields stable; tech recovers gradually
Hike and hint more	core inflation and wages firm	+25bp, more possible	2-year above 4.6%; growth stocks pressured
Pause	CPI soft; oil keeps falling; jobs cool	hold	yields fall; relief for tech

Andra Markets scenarios; no probabilities assigned. Not a recommendation on any security.

reading: the labour market is stronger than feared and the Fed has its green light. good for the economy, a headwind for rate-sensitive tech

Methodology and Source Notes

Method. This flash uses the BLS Employment Situation for October 2026 and press coverage by Reuters, CNBC, Bloomberg, Benzinga, UPI, ANI and others, with market data and FedWatch readings reported on 6 November 2026. Market moves are early-session and may change. Not a recommendation on any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. BLS; Reuters (via Yahoo Finance); CNBC; Bloomberg; Benzinga; UPI; ANI / The Tribune; NewsBusters; MacDailyNews; Finimize; ActionForex; Rio Times; Trading and Investment News; CME FedWatch; Polymarket; Kalshi; Principal Asset Management; Andra Markets 2026-90, 2026-92 and 2026-94.

Disclaimer

This document is produced by Andra Markets Global Markets Research for informational and educational purposes only. It is not investment, legal, accounting or tax advice, and it is not an offer, solicitation or recommendation to buy, sell or hold any security or financial instrument. Figures are drawn from public sources believed to be reliable but are not independently verified. Views are those of the desk at publication and may change without notice. Past performance is not indicative of future results. Andra Markets accepts no liability for any loss arising from the use of this material.